NAVIGATING CHOPPY WATERS

Amid a global slowdown and geopolitical uncertainty, continuity at the helm of the commerce & industry ministry bodes well for India Inc

By M.G. ARUN



This financial year had started on a tepid note, with India's merchandise exports rising only 1 per cent—to around $35 billion (Rs 2.92 lakh crore)—in April, compared to the same month last year. The ongoing Russia-Ukraine war along with other geopolitical tensions, such as the Red Sea crisis and the Israel-Hamas conflict, also contributed to making the international trade scenario even tougher for Indian exporters.

Despite all this, businesses are living in the hope that exports will start showing better growth numbers with improved demand from the European Union, the UK, West Asia and the US. Order bookings from these regions are up 10 per cent, claims the Federation of Indian Export Organisations (FIEO), which is a sign of recovery for labour-intensive sectors, including leather and leather products, footwear and apparel.



EXPERTSPEAK

AJAY SAHAI, *Director General & CEO, Federation of Indian Export Organisations*

"Post the Red Sea crisis and global slowdown, the demand for credit from exporters has gone up due to an increase in the price of commodities and freight. The ministry needs to address this"